INMAGENE PTE. LTD.
(Company Registration No. 202219920W)
(Incorporated in the Republic of Singapore)

AUDITED FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

T&C PARTNERS
CHARTERED ACCOUNTANTS

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

CORPORATE INFORMATION
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

Directors

Jonathan Jian Wang
Fan Pengcheng
Geng Wei

Company Secretary

Li Ruifeng

Registered Office

6 Shenton Way
#37-03 OUE Downtown
Singapore 068809

Independent Auditor

T&C Partners

Engagement partner: Chor Chung Heong

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INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT

The directors are pleased to present their statement to the member together with the audited financial statements of Inmagene Pte. Ltd. (the "Company") for the financial year ended 31 December 2023.

1. OPINION OF THE DIRECTORS

In the opinion of the directors,

(a) the financial statements of the Company are drawn up so as to give a true and fair view of the financial position of the Company as at 31 December 2023 and the financial performance, changes in equity and cash flows of the Company for the year then ended; and

(b) at the date of this statement, having regard to the financial support from the related company, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

2. DIRECTORS

The directors of the Company in office at the date of this statement are:

Jonathan Jian Wang
Fan Pengcheng
Geng Wei

3. ARRANGEMENTS TO ENABLE DIRECTORS TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial period was the Company a party to any arrangement whose objects are, or one of whose objects is, to enable the directors of the Company to acquire benefits by means of the acquisitions of shares in, or debentures of, the Company or any other body corporate.

4. DIRECTORS' INTERESTS IN SHARES OR DEBENTURES

According to the register of directors' shareholdings kept by the Company under section 164 of the Singapore Companies Act 1967 (the Act), none of the director holding office at the end of the financial period had any interest in the shares or debentures of the Company or its related corporations except as stated below:

	Shareholdings registered in name of director as at		Shareholdings in which director is deemed to have an interest	
	1/1/2023	31/12/2023	1/1/2023	31/12/2023
The Company				
Jonathan Jian Wang	-	-	10,000	10,000
Holding company				
(Ordinary shares)				
Inmagene Biopharmaceuticals				
Jonathan Jian Wang	318,313,306	318,313,306	-	-

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

DIRECTORS' STATEMENT (CONT'D)

5. SHARE OPTIONS

There were no options granted during the financial period to subscribe for unissued shares of the Company.

There were no shares issued during the financial period by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares of the Company under option at the end of the financial period.

6. AUDITOR

T&C Partners has expressed its willingness to accept re-appointment as auditor.

On behalf of the Board of Directors

DocuSigned by:
Jonathan Wang
Signer Name: Jonathan Wang
Signing Reason: I approve this document
Signing Time: 05-Jun-2024 | 9:55:25 PM PDT
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Jonathan Jian Wang
Director

DocuSigned by:
Francis Fan
签名者名称： Francis Fan
签名原因： 我批准此文档
签名时间： 06-6-2024 | 7:04:01 下午 PDT
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Fan Pengcheng
Director

Singapore
6 JUN 2024

T&C PARTNERS
CHARTERED ACCOUNTANTS

T&C PARTNERS
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INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF INMAGENE PTE. LTD.
(Incorporated in Republic of Singapore)

Report on the Audit of the Financial Statements

Opinion

We have audited the financial statements of Inmagene Pte. Ltd. (the "Company"), which comprise the statement of financial position as at 31 December 2023, and the statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including material accounting policy information.

In our opinion, the accompanying financial statements are properly drawn up in accordance with the provisions of the Companies Act 1967 (the Act) and Financial Reporting Standards in Singapore (FRSs) so as to give a true and fair view of the financial position of the Company as at 31 December 2023 and of the financial performance, changes in equity and cash flows of the Company for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with Singapore Standards on Auditing (SSAs). Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Accounting and Corporate Regulatory Authority (ACRA) *Code of Professional Conduct and Ethics for Public Accountants and Accounting Entities* (ACRA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Singapore, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the ACRA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Other Information

Management is responsible for the other information. The other information comprises the Directors' Statement set out on pages 1 to 2.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

Responsibilities of Management and Directors for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Act and FRSs, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair financial statements and to maintain accountability of assets.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

The directors' responsibilities include overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SSAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

T&C PARTNERS
CHARTERED ACCOUNTANTS

INDEPENDENT AUDITOR'S REPORT
TO THE MEMBER OF INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

Auditor's Responsibilities for the Audit of the Financial Statements (cont'd)

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

T&C Partners
Public Accountants and
Chartered Accountants

Singapore
6 June 2024

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Note	1/1/2023 to 31/12/2023 US$	8/6/2022 (date of incorporation) to 31/12/2022 US$
Administrative and other expenses		(234,617)	(112,098)
Research expenses		(234,566)	(4,224,247)
Loss before tax	(4)	(469,183)	(4,336,345)
Income tax expense	(5)	-	-
Loss for the financial year/period, representing total comprehensive loss for the financial year/period		(469,183)	(4,336,345)

The accompanying notes form an integral part of these financial statements.

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF FINANCIAL POSITION
AS AT 31 DECEMBER 2023

	Note	2023 US$	2022 US$
ASSETS			
Non-current asset			
Investment in subsidiary	(6)	-	-
Current assets			
Amount due from immediate holding company	(7)	7,442	7,442
Cash at bank	(8)	6,693	238,758
		14,135	246,200
Total assets		14,135	246,200
EQUITY AND LIABILITIES			
Equity			
Share capital	(9)	7,442	7,442
Accumulated losses		(4,805,528)	(4,336,345)
Equity attributable to owner of the Company		(4,798,086)	(4,328,903)
Current liability			
Other payables and accruals	(10)	2,577,403	2,426,117
Amount due to subsidiary	(11)	148,986	148,986
Amount due to ultimate holding company	(12)	2,085,832	2,000,000
		4,812,221	4,575,103
Total liabilities		4,812,221	4,575,103
Total equity and liabilities		14,135	246,200

The accompanying notes form an integral part of these financial statements.

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	Share capital US$	Accumulated losses US$	Total US$
As at 8 June 2022 (date of incorporation)	7,442	-	7,442
Loss for the financial period, representing total comprehensive loss for the financial period	-	(4,336,345)	(4,336,345)
As at 31 December 2022	7,442	(4,336,345)	(4,328,903)
As at 1 January 2023	7,442	(4,336,345)	(4,328,903)
Loss for the financial year, representing total comprehensive loss for the financial year	-	(469,183)	(469,183)
As at 31 December 2023	7,442	(4,805,528)	(4,798,086)

The accompanying notes form an integral part of these financial statements.

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

	1/1/2023 to 31/12/2023 US$	8/6/2022 (date of incorporation) to 31/12/2022 US$
CASH FLOWS FROM OPERATING ACTIVITIES		
Loss before tax	(469,183)	(4,336,345)
Changes in working capital:		
Amount due from holding company	-	(7,442)
Other payable and accruals	151,286	2,426,117
Cash used in operations, representing net cash used in operating activities	(317,897)	(1,917,670)
CASH FLOWS FROM FINANCING ACTIVITIES		
Issuance of shares	-	7,442
Amount due to subsidiary	-	148,986
Amount due to ultimate holding company	85,832	2,000,000
Net cash generated from financing activities	85,832	2,156,428
Net (decrease)/increase in cash and cash equivalents	(232,065)	238,758
Cash and cash equivalents at begining of the financial year/period	238,758	-
Cash and cash equivalent at the end of financial year/period	6,693	238,758

Note: Cash and cash equivalents comprise cash at bank.

The accompanying notes form an integral part of these financial statements.

INMAGENE PTE. LTD.
(Incorporated in the Republic of Singapore)

STATEMENT OF CASH FLOWS (CONT'D)
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2023

Reconciliation of liabilities arising from financing activities:

	1 January 2023	Additions	Financing cash flows	Non-cash movement Interest expenses	31 December 2023
	US$	US$	US$	US$	US$
Liabilities					
Amount due to ultimate holding company	2,000,000	-	85,832	-	2,085,832
Amount due to subsidiary	148,986	-	-	-	148,986
	2,000,000	-	85,832	-	2,234,818

	8 June 2022	Additions	Financing cash flows	Non-cash movement Interest expenses	31 December 2022
	US$	US$	US$	US$	US$
Liabilities					
Amount due to ultimate holding company	-	-	2,000,000	-	2,000,000
Amount due to subsidiary	-	-	148,986	-	148,986
	-	-	2,148,986	-	2,148,986

The accompanying notes form an integral part of these financial statements.

These notes form an integral part of and should be read in conjunction with the accompanying financial statements.

1. CORPORATE INFORMATION

Inmagene Pte. Ltd. (the Company) is incorporated and domiciled in the Singapore with its registered office and principal place of business of the Company is 6 Shenton Way, #37-03 OUE Downtown Singapore 068809.

The principal activities of the Company are research and experimental development on biotechnology (excluding medical science).

The immediate holding company is InmageneBio Inc., a company incorporated in British Virgin Islands, which owns 100% of the issued share capital of the Company.

The ultimate holding company is Inmagene Biopharmaceuticals, a company incorporated in Cayman Islands.

2. MATERIAL ACCOUNTING POLICY INFORMATION

2.1 Basis of preparation

The financial statements of the Company have been Drawn up in accordance with Financial Reporting Standards in Singapore ("FRSs"). The financial statements have been prepared on the historical cost basis except as disclosed in accounting policies below.

The financial statements are presented in United States Dollars ("US$") which is the Company's functional currency.

The financial statements of the Company have been prepared on the basis that it will continue to operate as a going concern.

2.2 Adoption of new and amended standards and interpretations

The Company has adopted all the new and amended standards which are relevant to the Company and are effective for annual financial periods beginning on or after 1 January 2023. The adoption of these standards did not have any material effect on the financial performance or position of the Company.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.3 Standards issued but not yet effective

A number of new standards and amendments to standard that have been issued are not yet effective and have not been applied in preparing these financial statements.

Description	Effective for annual periods beginning on or after
Amendments to FRS 1 *Presentation of Financial Statements*: Classification of Liabilities as Current or Non-current	1 January 2024
Amendments to FRS 116 *Leases*: Lease Liability in a Sale and Leaseback	1 January 2024
Amendments to FRS 1 *Presentation of Financial Statements*: Non-current Liabilities with Covenants	1 January 2024
Amendments to FRS 7 *Statement of Cash Flows and FRS 107 Financial Instruments: Disclosures*: Supplier Finance Agreements	1 January 2024
Amendments to FRS 21 *The Effects of Changes in Foreign Exchange Rates*: Lack of Exchangeability	1 January 2025
Amendments to FRS 110 Consolidated Financial Statements and FRS 28 Investments in Associates and Joint Ventures: Sale or Contribution of Assets between an Investor and its Associate or Joint Venture	Date to be determined

The director expects that the adoption of these new and amended standards will have no material impact on the financial statements in the year on initial application.

2.4 Going concern

The financial statements of the Company have been prepared on a going concern basis notwithstanding the total current liabilities exceeded its total current assets by US$4,798,086 (2022: US$4,328,903) and capital deficiency of US$4,798,086 (2022: US$4,328,903) as at 31 December 2023. These factors indicate the existence of a material uncertainty which may cast significant doubt over the Company's ability to continue as a going concern.

The ability of the Company to continue as a going concern is dependent on the undertaking of its related company, Inmagene Pty Ltd, to provide continuing financial support to enable the Company to meet its liabilities as and when they fall due.

If the Company is unable to continue in operational existence for the foreseeable future and to obtain financial support from the related company, the Company may be unable to discharge its liabilities in the normal course of business and adjustments may have to be made to reflect the situation that assets may need to be realised other than in the normal course of business and at amounts which could differ significantly from the amounts at which they are currently recorded in the statement of financial position. In addition, the Company may have to reclassify non-current assets and liabilities as current assets and liabilities. No such adjustments have been made to these financial statements.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.5 Consolidation

Consolidated financial statements have not been prepared to consolidate the financial statements of the subsidiary as the Company is a wholly-owned subsidiary of InmageneBio Inc, which is itself wholly-owned by Inmagene Biopharmaceuticals. Inmagene Biopharmaceuticals, prepares consolidated financial statements. The consolidated financial statements can be obtained from Grand Pavilion Commercial Centre, Suite 24, 802 West Bay Road, P.O. Box 10281, Grand Cayman KY1-1003, Caymand Islands.

The Company regards InmageneBio Inc and Inmagene Biopharmaceuticals to be its immediate and ultimate holding companies respectively. Both these holding companies are incorporated in the British Virgin Islands and Cayman Islands respectively.

Subsidiaries are entities controlled by the Company. Control is achieved when the Company exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns though its power over the entity.

Investments in subsidiary is stated at cost less impairment losses, if any.

2.6 Foreign currency transaction and balances

Transactions in foreign currencies are measured in the functional currency of the Company and are recorded on initial recognition in the functional currency at exchange rates approximating those ruling at the transaction dates. Monetary assets and liabilities denominated in foreign currencies are translated at the rate of exchange ruling at the reporting date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates as at the dates of the initial transactions.

Exchange differences arising on the settlement of monetary items or on translating monetary items at the end of the reporting period are recognised in profit or loss.

2.7 Taxes

(a) Current income tax

Current income tax assets and liabilities for the current and prior periods are measured at the amount expected to be recovered from or paid to the taxation authority. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at the reporting date.

Current income taxes are recognised in profit or loss except to the extent that the tax relates to items recognised outside profit or loss, either in other comprehensive income or directly in equity. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.7 Taxes (cont'd)

(b) Deferred tax

Deferred tax is provided using the liability method on temporary differences at the end of the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax assets and liabilities are measured at the tax rates that are expected to apply in the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and deferred tax liabilities are offset, if a legally enforceable right exists to set off current income tax assets against current income tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.8 Impairment of non-financial assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, (or, where applicable, when an annual impairment testing for an asset is required), the Company makes an estimate of the asset's recoverable amount.

An asset's recoverable amount is the higher of an asset's or cash-generating unit's fair value less costs of disposal and its value in use and is determined for an individual asset, unless the asset does not generate cash inflows that are largely independent of those from other assets or group of assets. Where the carrying amount of an asset or cash-generating unit exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

Impairment losses are recognised in profit or loss.

A previously recognised impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognised. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increase cannot exceed the carrying amount that would have been determined, net of depreciation, had no impairment loss been recognised previously. Such reversal is recognised in profit or loss.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial instruments

(i) Financial assets

Initial recognition and measurement

Financial assets are recognised when, and only when the entity becomes party to the contractual provisions of the instruments.

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at Fair Value through Profit and Loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss.

Subsequent measurement

Debt instruments

Subsequent measurement of debt instruments depends on the Company's business model for managing the asset and the contractual cash flow characteristics of the assets. The three measurement catogeries for classification of debt instruments are amortised cost, Fair Value through Other Comprehensive Income (FVOCI) and FVPL. The Company only has debt instruments at amortised cost.

Financial assets that are held for the collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Financial assets are measured at amortised cost using the effective interest method, less impairment. Gains and losses are recognised in profit or loss when the assets are derecognised or impaired, and through the amortisation process.

Derecognition

A financial asset is derecognised where the contractual right to receive cash flows from the asset has expired. On derecognition of a financial asset in its entirety, the difference between the carrying amount and the sum of the consideration received and any cumulative gain or loss that had been recognised in other comprehensive income for debt instruments is recognised in profit or loss.

(ii) Financial liabilities

Initial recognition and measurement

Financial liabilities are recognised when, and only when, the Company becomes a party to the contractual provisions of the financial instrument. The Company determines the classification of its financial liabilities at initial recognition.

All financial liabilities are recognised initially at fair value plus in the case of financial liabilities not at FVPL, directly attributable transaction costs.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.9 Financial Instruments (cont'd)

(ii) Financial liabilities (cont'd)

Subsequent measurement

After initial recognition, financial liabilities that are not carried at FVPL are subsequently measured at amortised cost using the effective interest method. Gains and losses are recognised in profit or loss when the liabilities are derecognised, and through the amortisation process.

Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. On derecognition, the difference between the carrying amounts and the consideration paid is recognised in profit or loss.

2.10 Impairment of financial assets

The Company recognises an allowance for expected credit losses (ECLs) for all debt instruments not held at FVPL. ECLs are based on the difference between the contractual cash flows due in accordance with the contract and all the cash flows that the Company expects to receive, discounted at an approximation of the original effective interest rate. The expected cash flows will include cash flows from the sale of collateral held or other credit enhancements that are integral to the contractual terms.

ECLs are recognised in two stages. For credit exposures for which there has not been a significant increase in credit risk since initial recognition, ECLs are provided for credit losses that result from default events that are possible within the next 12-months (a 12-month ECL). For those credit exposures for which there has been a significant increase in credit risk since initial recognition, a loss allowance is recognised for credit losses expected over the remaining life of the exposure, irrespective of timing of the default (a lifetime ECL).

For trade receivables, the Company applies a simplified approach in calculating ECLs. Therefore, the Company does not track changes in credit risk, but instead recognises a loss allowance based on lifetime ECLs at each reporting date. The Company has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment which could affect debtors' ability to pay.

The Company considers a financial asset in default when contractual payments are 60 days past due. However, in certain cases, the Company may also consider a financial asset to be in default when internal or external information indicates that the Company is unlikely to receive the outstanding contractual amounts in full before taking into account any credit enhancements held by the Company. A financial asset is written off when there is no reasonable expectation of recovering the contractual cash flows.

2. MATERIAL ACCOUNTING POLICY INFORMATION (CONT'D)

2.11 Cash and cash equivalents

Cash and cash equivalents comprise cash at banks which are subject to an insignificant risk of changes in value. These also include bank overdrafts that form an integral part of the Company's cash management.

2.12 Share capital

Proceeds from issuance of ordinary shares are recognised as share capital in equity. Incremental costs directly attributable to the issuance of ordinary shares are deducted against share capital.

2.13 Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed. If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, where appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES

The preparation of the Company's financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities at the end of each reporting period. Uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in the future periods.

3.1 Judgements made in applying accounting policies

(a) Determination of functional currency

In determining the functional currency of the Company, judgement is used by the Company to determine the currency of the primary economic environment in which the Company operates. Consideration factors include the currency that mainly influences sales prices of goods and services and the currency of the country whose competitive forces and regulations mainly determines the sales prices of its goods and services.

3. SIGNIFICANT ACCOUNTING JUDGEMENTS AND ESTIMATES (CONT'D)

3.2 Key sources of estimation uncertainty

The key assumptions concerning the future and other key sources of estimation uncertainty at the end of the reporting period are discussed below. The Company based its assumptions and estimates on parameters available when the financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

(a) Income tax

Significant judgement is involved in determining the provision for income tax. There are certain transactions and computations for which the ultimate tax determination is uncertain during the ordinary course of business. The Company recognises liabilities for expected tax issues based on estimates of whether additional tax will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

4. LOSS BEFORE TAX

Loss before tax has been arrived at after charging:

	1/1/2023 to 31/12/2023 US$	8/6/2022 (date of incorporation) to 31/12/2022 US$
Consulting fee	178,577	98,316
Foreign exchange loss	20,870	-
Legal fee	24,525	10,343

5. INCOME TAX EXPENSE

Relationship between tax expense and accounting loss

A reconciliation between tax expense and the product of accounting loss multiplied by the applicable corporate tax rate for the financial year ended 31 December 2023/financial period from 8 June 2022 (date of incorporation) to 31 December 2022 were as follows:

	1/1/2023 to 31/12/2023 US$	8/6/2022 (date of incorporation) to 31/12/2022 US$
Loss before tax	(469,183)	(4,336,345)
Income tax using the staturoty rate of 17%	(79,761)	(737,179)
Adjustments:		
- Non-deductible expenses	79,761	737,179
Income tax expense recognised in profit or loss	-	-

6. INVESTMENT IN SUBSIDIARY

	2023 US$	2022 US$
Unquoted equity shares, at cost (1)	-	-

Details of the subsidiary are as follows:

Name of subsidiary	Principal activities	Country of incorporation and place of business	Effective equity interest held 2023 %	Effective equity interest held 2022 %
Inmagene Biopharmaceuticals Limited*	Investment holding	Hong Kong	100	100

(1) Cost of investment less than US$1.

*Not acting as auditors

7. AMOUNT DUE FROM IMMEDIATE HOLDING COMPANY

Amount due from immediate holding company is non-trade in nature, unsecured, interest-free and recoverable on demand.

8. CASH AT BANK

Cash at bank is denominated in the following currencies:

	2023 US$	2022 US$
Hongkong Dollar	(32)	-
United States Dollar	6,725	238,758
	6,693	238,758

9. SHARE CAPITAL

	2023 US$	2022 US$
Issued and fully paid		
10,000 (2022: 10,000) ordinary shares	7,442	7,442

In the previous financial period, the Company issued 10,000 ordinary shares for a cash consideration of US$7,442 to incorporate the Company.

The holder of ordinary shares is entitled to receive dividends as and when declared by the Company. All ordinary shares carry one vote per share without restrictions. Ordinary shares have no par value.

10. OTHER PAYABLES AND ACCRUALS

	2023 US$	2022 US$
Other payables		
- Related parties	2,514,841	2,419,971
- Third parties	59,680	-
	2,574,521	2,419,971
Accruals	2,882	6,146
	2,577,403	2,426,117

10. OTHER PAYABLES AND ACCRUALS (CONT'D)

Other payables and accruals are denominated in the following currencies:

	2023 US$	2022 US$
Australian Dollar	2,444,842	2,419,971
Euro	42,412	-
Singapore Dollar	2,882	2,826
United States Dollar	87,267	3,320
	2,577,403	2,426,117

11. AMOUNT DUE TO SUBSIDIARY

Amount due to subsidiary is non-trade in nature, unsecured, interest-free and repayable on demand.

12. AMOUNT DUE TO ULTIMATE HOLDING COMPANY

Amount due to ultimate holding company is non-trade in nature, unsecured, interest-free and repayable on demand.

13. FINANCIAL RISK MANAGEMENT

The Company's activities expose it to a variety of financial risks from its operations. The key financial risk includes market risk (including foreign currency risk and interest rate risk), credit risk and liquidity risk.

The directors review and agree policies and procedures for the management of these risks, which are executed by the management team. It is and has been throughout the current financial period, the Company's policy that no trading in derivatives for speculative purposes shall be undertaken.

The following sections provide the details regarding the Company's exposure to the above-mentioned financial risks and the objectives, policies and processes for the management of these risks.

There has been no change to the Company's exposure to these financial risks or the manner in which it manages and measures the risks.

(a) Credit risk

Credit risk refers to the risk that the counterparty will default on its contractual obligations resulting in a loss to the Company. The Company's exposure to credit risk arises primarily from amount due from immediate holding company. For other financial assets (including cash and cash equivalents), the Company minimises credit risk by dealing exclusively with high credit rating counterparties.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

The Company has adopted a policy of only dealing with creditworthy counterparties. The Company performs ongoing credit evaluation of its counterparties' financial condition and generally do not require a collateral.

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period.

The Company has determined the default event on a financial asset to be when internal and/or external information indicates that the financial asset is unlikely to be received, which could include default of contractual payments due for more than 90 days, default of interest due for more than 90 days or there is significant difficulty of the counterparty.

To minimise credit risk, the Company has developed and maintained the Company's credit risk gradings to categorise exposures according to their degree of risk of default. The credit rating information is supplied by publicly available financial information and the Company's own trading records to rate its major customers and other debtors. The Company considers available reasonable and supportive forward-looking information which includes the following indicators:

- Internal credit rating
- External credit rating
- Actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations
- Actual or expected significant changes in the operating results of the debtor
- Significant increases in credit risk on other financial instruments of the same debtor
- Significant changes in the expected performance and behaviour of the debtor, including changes in the payment status of debtors in the group and changes in the operating results of the debtor.

Regardless of the analysis above, a significant increase in credit risk is presumed if a debtor is more than 30 days past due in making contractual payment.

The Company determined that its financial assets are credit-impaired when:

- There is significant difficulty of the debtor
- A breach of contract, such as a default or past due event
- It is becoming probable that the debtor will enter bankruptcy or other financial reorganisation
- There is a disappearance of an active market for that financial asset because of financial difficulty

The Company categorises a receivable for potential write-off when a debtor fails to make contractual payments more than 120 days past due. Financial assets are written off when there is evidence indicating that the debtor is in severe financial difficulty and the debtor has no realistic prospect of recovery.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

The Company's current credit risk grading framework comprises the following categories:

Category	Definition of category	Basis for recognising expected credit loss (ECL)
I	Counterparty has a low risk of default and does not have any past-due amounts.	12-month ECL
II	Amount is > 30 days past due or there has been a significant increase in credit risk since initial recognition.	Lifetime ECL - not credit - impaired
III	Amount is >60 days past due or there is evidence indicating the asset is credit-impaired (in default).	Lifetime ECL - credit - impaired
IV	There is evidence indicating that the debtor is in severe financial difficulty and has no realistic prospect of recovery.	Amount is written off

The table below details the credit quality of the Company's financial assets, as well as maximum exposure to credit risk by credit risk rating categories:

	Note	Category	12-month or lifetime ECL	Gross carrying amount	Loss allowance	Net carrying amount
				US$	US$	US$
31 December 2023						
Amount due from immediate holding company	7	I	12-month ECL	7,442	-	7,442
31 December 2022						
Amount due from immediate holding company	7	I	12-month ECL	7,442	-	7,442

Excessive risk concentration

Concentrations arise when a number of counterparties are engaged in similar business activities, or activities in the same geographical region, or have economic features that would cause their ability to meet contractual obligations to be similarly affected by changes in economic, political or other conditions. Concentrations indicate the relative sensitivity of the Company's performance to developments affecting a particular industry.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(a) Credit risk (cont'd)

Amount due from immediate holding company

The Company assessed the latest performance and financial position of the counterparties, adjusted for the future outlook of the industry in which the counterparties operate in, and concluded that there has been no significant increase in the credit risk since the initial recognition of the financial assets. Accordingly, the Company measured the impairment loss allowance using 12-month ECL and determined that the ECL is insignificant.

(b) Liquidity risk

Liquidity risk refers to the risk that the Company will encounter difficulties in meeting its short-term obligation due to shortage of funds. The Company's exposure to liquidity risk arises primarily from mismatches of the maturities of financial assets and liabilities. It is managed by matching the payment and receipts cycles. The Company's objective is to maintain a balance between continuity of funding and flexibility through the use of stand-by credit facilities. The Company's operations are financed mainly through equity. The directors are satisfied that funds are available to finance the operations of the Company.

Analysis of financial instruments by remaining contractual maturities

The table below summarises the maturity profile of the Company's financial assets and liabilities at the reporting date based on contractual undiscounted repayment obligations.

	2023		
	Carrying amount US$	Contractual cash flows US$	One year or less US$
Financial assets			
Amount due from immediate holding company	7,442	7,442	7,442
Cash at bank	6,693	6,693	6,693
Total undiscounted financial assets	14,135	14,135	14,135
Financial liabilities			
Other payables and accruals	(2,577,403)	(2,577,403)	(2,577,403)
Amount due to subsidiary	(148,986)	(148,986)	(148,986)
Amount due to ultimate holding company	(2,085,832)	(2,085,832)	(2,085,832)
Total undiscounted financial liabilities	(4,812,221)	(4,812,221)	(4,812,221)
Total net undiscounted financial liabilities	(4,798,086)	(4,798,086)	(4,798,086)

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(b) Liquidity risk (cont'd)

	2022		
	Carrying amount US$	Contractual cash flows US$	One year or less US$
Financial assets			
Amount due from immediate holding company	7,442	7,442	7,442
Cash at bank	238,758	238,758	238,758
Total undiscounted financial assets	246,200	246,200	246,200
Financial liabilities			
Other payables and accruals	(2,426,117)	(2,426,117)	(2,426,117)
Amount due to subsidiary	(148,986)	(148,986)	(148,986)
Amount due to ultimate holding company	(2,000,000)	(2,000,000)	(2,000,000)
Total undiscounted financial liabilities	(4,575,103)	(4,575,103)	(4,575,103)
Total net undiscounted financial liabilities	(4,328,903)	(4,328,903)	(4,328,903)

(c) Market risk

Market risk is the risk that changes in market prices, such as interest rates and foreign exchange rates will affect the Company's income. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Foreign currency risk

The Company's foreign exchange risk results mainly from cash flows from transactions denominated in foreign currencies. At present, the Company does not have any formal policy for hedging against currency risk.

The Company has transactional currencies exposures arising on other payables and accruals that are denominated in currencies other than the functional currency of the Company, primarily Australian Dollar ("AUD"), Euro ("EUR") and Singapore Dollar ("SGD").

Information on the Company's currency exposure are detailed in Notes 10 to the financial statements.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk (cont'd)

(i) Foreign currency risk (cont'd)

The Company's currency exposures to the EUR, AUD and SGD at the reporting date were as follows:

	2023		
	EUR	AUD	SGD
	US$	US$	US$
Financial liabilities			
Other payables and accruals	(42,412)	(2,444,842)	(2,882)
Currency exposures	(42,412)	(2,444,842)	(2,882)

	2022	
	AUD	SGD
	US$	US$
Financial liabilities		
Other payables and accruals	(2,419,971)	(2,826)
Currency exposures	(2,419,971)	(2,826)

A 10% strengthening of United States Dollar against the foreign currencies denominated balances as at the reporting date would increase/(decrease) profit or loss by the amounts shown below. This analysis assumes that all other variables remain constant.

	Profit or loss (after tax)	
	2023	2022
	US$	US$
Australian Dollar	(202,922)	(200,858)
Euro	(3,520)	-
Singapore Dollar	(239)	(235)

A 10% weakening of United States Dollar against the above currencies would have had equal but opposite effect on the above currency to the amounts shown above, on the basis that all other variables remain constant.

13. FINANCIAL RISK MANAGEMENT (CONT'D)

(c) Market risk (cont'd)

(ii) Interest rate risk

Interest rate risk is the risk that the fair value or future cash flows of the Company's financial instruments will fluctuate because of changes in market interest rates.

The Company does not expect any significant effect on the Company's profit or loss arising from the effects of reasonably possible changes to interest rate on interest bearing financial instruments at the end of the financial year. Accordingly, sensitivity analysis is not disclosed.

14. SIGNIFICANT RELATED PARTY TRANSACTIONS

A related party is defined as follows:

(a) A person or a close member of that person's family is related to the Company, if that person:

- (i) has control or joint control over the Company;
- (ii) has significant influence over the Company; or
- (iii) is a member of the key management personnel of the Company or of a parent of the Company.

(b) An entity is related to the Company if any of the following conditions applies:

- (i) The entity and the Company are members of the same group (which means that each parent, subsidiary and fellow subsidiary is related to the others);
- (ii) One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member);
- (iii) Both entities are joint venture of the same third party;
- (iv) One entity is a joint venture of a third entity and the other entity is an associate of the third entity;
- (v) The entity is a post-employment benefit plan for the benefit of employees of either the Company or an entity related to the Company. If the Company is itself such a plan, the sponsoring employers are also related to the Company;
- (vi) The entity is controlled or jointly controlled by a person identified in (a);
- (vii) A person identified in (a) (i) has significant influence over the entity or is a member of the key management personnel of the entity (or of the parent of the entity); and
- (viii) The entity, or a member of a group of which it is a part, provides key management personnel services to the Company or to the parent of the Company.

14. SIGNIFICANT RELATED PARTY TRANSACTIONS (CONT'D)

In addition to the related party information disclosed elsewhere in the financial statements, the following transactions with related parties took place at terms agreed between the parties during the financial period:

	2023 US$	2022 US$
Subsidiary company		
Research expenses	-	148,986
Related party		
Research expenses	-	2,419,971

15. FINANCIAL INSTRUMENTS BY CATEGORY

At the reporting date, the aggregate carrying amounts of financial assets at amortised cost and financial liabilities at amortised cost were as follows:

	2023 US$	2022 US$
Financial assets measured at amortised cost		
Amount due from immediate holding company (Note 7)	7,442	7,442
Cash at bank (Note 8)	6,693	238,758
Total financial assets measured at amortised cost	14,135	246,200
Financial liabilities measured at amortised cost		
Other payables and accruals (Note 10)	2,577,403	2,426,117
Amount due to subsidiary (Note 11)	148,986	148,986
Amount due to ultimate holding company (Note 12)	2,085,832	2,000,000
Total financial liabilities measured at amortised cost	4,812,221	4,575,103

16. FAIR VALUE OF ASSETS AND LIABILITIES

Assets and liabilities not measured at fair value

Cash at bank, amount due from immediate holding company, other payable and accruals, amount due to subsidiary and amount due to ultimate holding company

The carrying amounts of these balances approximate their fair values due to the short-term nature of these balances.

17. CAPITAL MANAGEMENT

The primary objective of the Company's capital management is to ensure that it maintains a strong credit rating and healthy capital ratio in order to support its business and maximise shareholder's value. The capital of the Company comprised issued capital share capital and accumulated loss.

The Company manages its capital structure and makes adjustments to it, in light of changes in economic conditions. To maintain or adjust the capital structure, the Company adjusts the dividend payment to shareholders, return capital to shareholders or issue new shares. No changes were made in the objectives, policies or processes for the financial year ended 31 December 2023 and financial period from 8 June 2022 (date of incorporation) to 31 December 2022.

The Company monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including other payable and accruals) less cash and cash equivalents. Total capital is calculated as total equity as shown in the statement of financial position, plus net debts.

The gearing ratios at financial year/period ended 31 December 2023 and 31 December 2022 was as follows:

	2023 US$	2022 US$
Net debts	4,805,528	4,336,345
Total equity	(4,798,086)	(4,328,903)
Total capital	7,442	7,442
Gearing ratio	645.73	582.69

The Company is not subject to any externally imposed capital requirements.

The Company's strategy remains consistent with last financial year.

18. AUTHORISATION OF FINANCIAL STATEMENTS FOR ISSUE

The financial statements for the financial year ended 31 December 2023 were authorised for issue in accordance with a resolution of the Board of Directors of the Company on 6 June 2024.